

Monthly Finance Tracker

A Complete System to Track, Manage
and Grow Your Money Every Month

*Built for entrepreneurs, freelancers, and small business owners
who want clarity over their finances without the complexity.*

Why Most People Fail at Tracking Finances

Most people don't track their finances because the systems they try are either too complicated, too generic, or simply not built for how they actually earn and spend money. This guide gives you a lean, repeatable monthly system you can run in under 30 minutes a week.

The 3 Core Mistakes

Tracking without categorizing: Knowing you spent money is not the same as knowing where.

Mixing personal and business: Separate accounts save you hours at tax time and give you accurate numbers.

Reviewing too late: Monthly is the minimum. Weekly is the standard for growth-minded owners.

Rule #1: You cannot improve what you do not measure.

Your Monthly Income Tracker

Every dollar that comes in gets logged here. Whether it's a client invoice, a product sale, or passive income - it all goes into one place.

Income Categories to Track

- Primary Business Revenue (services, products, retainers)
- Recurring / Subscription Revenue
- Affiliate or Partner Income
- Freelance or Side Projects
- Passive Income (digital products, royalties, rentals)
- Other (refunds, reimbursements)

Monthly Income Log Template

Date | Source | Category | Amount | Notes

Use this format in a spreadsheet or notebook. Date the entry when the money is received - not invoiced.

Pro Tip: Set a recurring weekly 15-minute block to log income. Don't let it pile up.

Your Monthly Expense Tracker

Expenses fall into two buckets: Fixed (same every month) and Variable (changes). Both need to be tracked, but you control them differently.

Fixed Expenses

- Rent / Office Space
- Software subscriptions (CRMs, tools, hosting)
- Insurance premiums
- Loan or lease payments
- Team salaries or retainers

Variable Expenses

- Advertising and paid media
- Contractor or freelance payments
- Supplies and materials
- Travel and transportation
- Meals and entertainment (business only)
- Education and training

Expense Log Template

Date | Vendor | Category | Amount | Fixed/Variable | Notes

Review variable expenses first when cutting costs. Fixed costs require renegotiation - variable costs can be stopped immediately.

Monthly Profit & Loss Summary

At the end of every month, complete this one-page summary. It takes 10 minutes and gives you the clearest picture of your business health.

The Formula

1. Total Revenue: Add all income entries for the month.
2. Total Expenses: Add all expense entries for the month.
3. Gross Profit: Total Revenue minus Total Expenses.
4. Profit Margin %: $(\text{Gross Profit} / \text{Total Revenue}) \times 100$.
5. Owner Pay: What you actually paid yourself this month.
6. Net Position: Gross Profit minus Owner Pay.

Target profit margin for a healthy service business: 30-50%. Product businesses: 20-40%.

Monthly Health Check Questions

- Did revenue grow compared to last month? Why or why not?
- Which expense grew most? Is it justified?
- What is my runway? $(\text{Cash} / \text{Monthly Expenses} = \text{Months of runway})$
- Am I on track with my 90-day revenue goal?

Cash Flow Forecasting

Cash flow is different from profit. You can be profitable on paper and still run out of cash. This section helps you look 30-90 days ahead.

Simple 90-Day Cash Flow Template

Month 1: Starting Cash + Expected Revenue - Expected Expenses = Ending Cash

Month 2: Month 1 Ending Cash + Expected Revenue - Expected Expenses = Ending Cash

Month 3: Month 2 Ending Cash + Expected Revenue - Expected Expenses = Ending Cash

Run this at the start of each month. Update it mid-month if anything changes significantly.

Warning Signs to Watch

- Cash balance dropping 3 months in a row
- Expenses growing faster than revenue
- Runway under 60 days with no new deals in pipeline
- Profit margin dropping below 20%

If cash runway drops under 60 days: stop all non-essential expenses immediately and focus 100% on revenue.

Annual Review & Goal Setting

Once a year, zoom out. Use your monthly data to set annual targets and identify the levers that matter most.

Annual Review Questions

- What was my best revenue month? What caused it?
- What was my worst month? What happened?
- What was my average monthly profit?
- Which product or service was most profitable?
- Which client or channel brought the most revenue?
- What expense could I eliminate next year?

Setting Next Year's Targets

1. Set an annual revenue target (realistic stretch, not wishful).
2. Break it into monthly minimums.
3. Identify 2-3 revenue levers you will pull (new product, new channel, price increase).
4. Set an expense ceiling: max % of revenue you will spend.
5. Schedule quarterly finance reviews (not just monthly).

A business with clear financial visibility grows faster because every decision is grounded in data.